

Digital Business | Smart SoHo

finance, where the criticality of IT infrastructure is very high, experience a high churn for PCs that are phased out more rapidly. It is here that the technology obsolescence factor essentially acts as a driver for the second-hand PC market. Until recently, banking and finance companies could easily afford to be slightly frivolous. Faisal of Star Infotech, which operates out of Lamington Road and deals in second-hand PCs puts it well — “large companies will routinely go in for a yearly revamp in hardware and sell the old computers to dealers for near scrap value.” However, he is quick to add that “most of my stock comes from home users”. Faisal is now looking forward to expanding his sales reach by targeting SMEs that require 15 to 20 computers for routine work. Jitu Bhai also offers some interesting insights. “A lot of pieces come from customs where auctions are regularly held to get rid of unclaimed or seized goods. Big businesses are a good source but we get their used computers indirectly, through large PC suppliers who are required to buy back hundreds of PCs from their clients as part of exchange schemes”, says Jitu Bhai. Another source is imports. Some may frown and call it e-waste dumping, but large quantities of high-end used computers find their way to Nehru Place in Delhi and secondary markets in Kolkata. These PCs are usually leased by rental companies abroad, and after a pre-defined deadline are considered redundant. Of course, they are far from redundant. Many of Jitu Bhai’s components come from PC manufactures who keep stand-by pieces of components to cover replacement guarantees. The buffers are quite high and many pieces remain unused, and find themselves in the secondary market.

A standard configuration

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Intel Pentium 4, 2GHz , 256MB RAM, 40GB Hard drive
CD-Writer, keyboard, and mouse
15-inch CRT monitor
Rs. 6,000

Web Resources: Classified web sites will help you find individual products as well as second-hand dealers in your city or town. Here are some examples.

<http://www.adpost.com/in/computers/>

<http://www.trademart.in/>

<http://dir.indiamart.com/cgi/compsearch.mp?ss=second%20hand%20computer>

<http://www.sscomptech.com/used-computer.htm>

<http://www.secondhandmall.com/>

<http://www.jitubhai.com/>

Why does it make sense for SoHo’s?

According to Jitu Bhai, the propensity to buy second-hand PCs for offices is less in the Metros. This is because the gap between new and second-hand has narrowed over the years. Yet the thumb rule remains that a second-hand machine can be bought at half the price of a new one. As per current prices, a decent second-hand PC can be bought for Rs. 6,000 to 8,000 as opposed to a new entry-level model for around Rs. 13,000. This translates to Rs. 5,000 saving on just a single PC — if your business requires more than five PCs, you are looking at a substantial saving.

People in the metros also have several hang-ups regarding after-sales service. Anyone trying to rubbish the entire second-hand business PCs should know that most of the players offer some form of warranty. The warranty period may range from a week to a month and most secondary sellers offer maintenance contracts through partner firms. Most don’t offer on-site warranty, but are happy to service the faulty components if you’re willing to bring the equipment to their office. Many others go by the axiom, “Walk out of the door and it’s your responsibility...” Avoid these guys.

Tier II and tier III cities are more open to the concept of used PCs. Mr. Goyal, a cyber-cafe owner in Jaipur had started off with three PCs that he bought from Jitu Bhai. He has now expanded to fifteen and is perfectly satisfied. A woman in Mira Road, who does not wish to be named, has several second-hand computers that form the back-bone of her small medical transcription business.

Where do you start from?

Your friendly neighbourhood assembler should be able to get you a good deal or at least get you in touch with a second-hand seller. You will also find players like Jitu Bhai who have their own web site (www.jitubhai.com) that offer components, as well as fully set-up PCs. If you pick up in bulk, most suppliers will offer some form of discount and either a preferential or an enhanced after-sales service. A simple Google search will net you results on web sites like Indiamart. Remember, some people will have no qualms about calling a spade a spade — in this case, a second-hand PC. But the euphemisms are aplenty — pre-owned, used, refurbished are some examples. All these terms can be quite confusing and certainly interchangeable. Although refurbished ideally implies that the computers have been thoroughly serviced and faulty parts have been replaced by the dealer. Most dealers do this anyway, so even if the computer has been lying in a dusty office basement, it’ll look like it’s in a fairly decent condition. ■

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